

Atchíson



August 2025



Monthly Market Update

Illuminating
the way forward



Key Events in August 2025

In August, real assets delivered resilience, impact, and dependable income amid uncertainty.

- The Australian share market gained +3.2% over the month, finishing at 8,973.1 points. This marked a fifth consecutive monthly gain for the benchmark on the back of Reserve Bank of Australia's (RBA) 0.25% interest rate cut and easing inflation.
- International share market rose by approximately +1%, signalling broad-based gains across developed and emerging markets.
- U.S. equities continued their strong run: ending the month with a +1.9% gain—marking its fourth consecutive month of gains—though it dipped slightly in the final days.
- European markets, including France's CAC 40 and Germany's DAX, posted gains alongside the U.S. rally, buoyed by optimism for U.S. rate cuts and easing global inflation.
- The FTSE 100 (UK) hit a record closing high of 9,321.40 on 22 August 2025, indicating strong performance despite pressures such as bank sector tax concerns.
- China delivered a standout performance: the CSI 300 soared over +10%, led by strength in tech stocks—notably Cambricon—before correcting early September.
- On 12 August, RBA lowered the cash rate by 0.25% to 3.60%, its third cut in 2025. The move was driven by easing inflation, a slight increase in unemployment, and weak productivity.
- ANZ data shows job advertisements increased marginally by 0.1% month-on-month and were 1.9% higher year-on-year.
- Though US tariffs remain, Australia's direct exposure has not changed and is assessed as limited. Globally, trade has held up reasonably well to date.
- In the US, analysts raised concerns about a “stagflation-lite” scenario—where inflation remains elevated amid slowing growth and rising unemployment. CPI inflation held steady near 2.7%, showing inflation persistence.
- In the US, the Q2 real GDP growth is estimated at around 3.0% annualised, driven largely by reduced imports due to tariffs—rather than strong underlying demand.
- Long-term structural challenges persist across Europe. The OECD notes that Russia's war in Ukraine and rising trade tensions are slowing Europe's recovery.
- The Eurozone Composite Purchasing Managers Index (PMI) (S&P Global) rose slightly to 51.0, up from 50.9 in July—reaching a 12-month high and signalling ongoing albeit modest growth. Growth was propelled by manufacturing gains; however, services weakened.
- The Asian Development Bank downgraded its 2025 growth forecast for developing Asia and the Pacific to 4.7%, citing mounting U.S. tariffs, geopolitical uncertainty, energy price pressures, and supply chain disruptions.
- China's manufacturing sector contracted for the fifth straight month, with the official PMI at approximately 49.4, marginally up from July's 49.3—still indicating ongoing contraction amid weak demand, job market instability.

Asset Class Summary

Table 1: Asset Class Returns – Periods to 31 August 2025

	1 Month %	3 Months %	1 Year %	3 Years % pa	5 Years % pa	10 Years % pa
Australian Shares	3.2	7.1	14.8	13.0	12.2	9.7
Australian Small Companies	8.3	12.5	22.5	8.9	7.2	8.5
International Shares (Unhedged)	1.0	6.6	20.1	20.5	15.8	12.7
International Shares (Hedged)	1.5	8.9	16.0	16.5	12.4	11.3
Emerging Markets (Unhedged)	0.6	8.1	21.9	12.1	6.4	7.0
Australian Property Securities	7.2	12.2	20.5	13.6	11.3	9.2
Global Property Securities (Hedged)	3.3	2.8	-0.6	1.9	3.8	
Global Listed Infrastructure (Hedged)	1.5	3.4	10.4			
Australian Bonds	0.3	1.2	4.2	3.6	-0.2	2.0
Global Bonds (Hedged)	0.5	1.4	2.4	1.9	-1.3	
Cash	0.3	0.9	4.4	4.1	2.5	
Change over the month						
AUD/USD	1.07%	US\$ 0.6538				

Past performance is not a reliable indicator of future performance.

Source: iShares Core S&P/ASX 200 ETF, iShares S&P/ASX Small Ordinaries ETF, Vanguard International Shares Index, Vanguard MSCI Index Intl Shrs (H) ETF, iShares MSCI Emerging Markets ETF, VanEck Australian Property ETF, VanEck FTSE Intl Prop Hdg ETF, iShares Core FTSE Global Infrastructure (AUD Hedged), iShares Core Composite Bond ETF, Vanguard Global Aggregate Bd Hdg ETF, iShares Core Cash ETF

Australian Markets

The Australian share market returned +3.2% and around +15% for the year. Market optimism was supported by a continued decline in inflation, interest rate cut of 0.25% from the RBA, and upward earnings revisions from analysts post reporting season.

Information Technology, Consumer Staples, and Energy sectors were among the strongest performers this month. In addition, Financials—especially the major banks—delivered notable strength with National Australia Bank, CBA, Westpac, and ANZ providing upward momentum.

Stocks that provided notable gains were Pilbara Minerals up + 52.2%, becoming the top performer on the ASX, Qantas shares jumped +9.1% after reporting strong underlying profits of \$2.4 billion. Companies like Eagers Automotive (electric vehicle-driven profit surge) and IDP Education (bullish guidance despite headwinds) also delivered significant upside—up around +12% and +29.7%, respectively.

However, Mining and Energy sectors overall remain under pressure, dragged down by smoothing earnings downgrades and squeezed profit margins (e.g. BHP, Rio Tinto, AGL facing depreciation and cost pressures).

It should be noted that a broader shift in investor sentiment has emerged favouring companies with fundamentally strong earnings, rather than those benefiting solely from lofty valuation multiples.

The estimated price-to-earnings (P/E) ratio for the ASX 200 remained elevated at ~19.9x, above the long-term average of 14.7x. This reflects both earnings optimism and a market willing to pay a premium in anticipation of a lower interest rate environment. However, such valuation premiums warrant caution, particularly if earnings delivery falters or global growth weakens.

Global Markets

Global developed-market equities returned approximately +1.5% this month and are at a stellar +20.1% for the 12 months (unhedged). Notably Japan's Tokyo Stock Price Index (TOPIX) was the strongest performer (in local-currency terms), bolstered by a U.S.–Japan trade agreement and strong economic data such as a 0.3% quarter-on-quarter GDP growth and +3% in core machinery orders.

The US S&P 500 gained around +1.9%, supported by strong Q2 earnings (around three-quarters of companies beating muted forecasts—the best result since 2021), resilient PMI data, and supportive government actions like the planned 10% stake acquisition in Intel.

In Europe (ex-UK), the MSCI Europe ex-UK index rose by approximately +1.2%, helped by positive activity data such as a euro-zone composite PMI flash reading of 51.1 (driven by manufacturing), along with continued loan growth.

Asia-Pacific equities (excluding Japan) experienced volatility—spurts of gains were balanced by tech-led sell-offs mid-month. For example, tech-heavy indices in Taiwan and South Korea declined due to concerns over increased regulatory intervention. Japan's Nikkei rose +1.4%, Hong Kong's Hang Seng gained +1.9%, China's SSE Composite added +0.4%, following sustained market optimism around expected US rate cuts.

Leading performances from individual companies were Affirm Holdings +12% on the back of profitability turnaround Rocket Lab Corp +7% based on successful product launches, contract wins and positive guidance, and SoFi Technologies +5% due to exceptional Q2 results and raised guidance.

According to the World P/E tracker the international share index had an estimated P/E ratio of 23.93x as of 4 September 2025—just after August ended. This is marginally above the 1-year average P/E of around 23.57x.

Bonds

Overall, the Bloomberg Global Aggregate Bond Index, a broad benchmark for sovereign, corporate and securitised debt, posted +0.5% and around +2.4% for the 12 months. Whilst yields in key government bond markets rose, particularly at the long end: Germany and France saw 30-year yields reach their highest since 2011. Japan's long-dated borrowing costs also hit record highs, contributing to price weakness.

In the UK, 30-year gilt yields climbed significantly—nearing levels not seen since 1998—reflecting market concerns over inflation, fiscal instability, and government credibility, pressuring bond prices and raising fiscal costs.

Investment-grade corporate bond spreads narrowed further across both the U.S. and Europe, contributing to positive returns in corporate credit.

The junk bond market enjoyed a robust period. Outstanding issuance (private credit and high-yield bonds) reached record levels—approximately USD 240 billion in July and over USD 100 billion anticipated in August—reflecting renewed investor risk appetite, likely underpinned by expectations of US Federal Reserve rate cuts.

Currencies and Commodity Markets

Major currencies such as the Euro, AUD, and GBP generally strengthened against the US dollar (USD). The USD experienced a modest decline of approximately 2% against major currencies over the month, largely due to growing anticipation of a US Federal Reserve interest-rate cut in September and mounting concerns about political interference in monetary policy.

The Australian dollar appreciated approximately +1.07% against the USD and ended the month trading around USD 0.6538 up from earlier in the period. The AUD's resilience can be attributed to support from domestic data, suggesting local economic or market fundamentals contributed to its relative strength.

In respect of Emerging Markets (EM), a weakening USD and growing concerns over US monetary policy credibility prompted capital flows into emerging markets, providing support to various EM currencies.

The Indian rupee fell sharply, hitting record lows, and closed around ₹88.19 per USD, its weakest level on record. The rupee depreciated approximately 1.6% against the offshore Chinese yuan over the month. Contributing factors included: escalating U.S. tariffs on Indian exports, and heavy foreign institutional selling.

Gold started the month around USD 3,363/oz. It dipped early in the month, then rallied steadily, closing near USD 3,447/oz by 29 August. This marks an approximate +2.4% net gain over the month. Investor anticipation of a US Federal Reserve rate cut in September, coupled with increasing political pressure on the Fed's independence, weakened the US dollar and bolstered gold's appeal as a safe haven. Central banks—especially across Asia and Eastern Europe—kept accumulating gold, reinforcing its role as a strategic reserve asset in a de-dollarisation drift.

Silver declined -0.07% to approximately USD 38.86/oz.

Based on Westpac IQ, energy prices—specifically crude oil and Liquefied Natural Gas (LNG)—fell, whereas industrial commodities strengthened. The Westpac Commodities Export Price Index climbed +3.0%. Iron ore soared approximately +6.0%. Metallurgical coal rose +3.4%, and thermal coal by +1.8%. These gains offset declines in crude oil (down ~4.1%) and LNG (down ~1.5%). The decline in oil stemmed from rising OPEC+ output and lingering demand concerns, translating into retained downward pressure.



Outlook for Investment Markets

The prevailing mood is cautiously optimistic in times of high risks. On the positive side, of very highly valued US shares: the list of the winners, this year, is much more balanced than in the last few years when markets were almost exclusively driven by the Magnificent Seven, leaving only minor roles to all other stocks. This increased balance is certainly a benefit to equity investors should the tech and finance sectors disappoint.

Tariffs continue to pose risks for cyclical outcomes encompassing a range of economic and financial market indicators, including growth inflation and interest rates. Near-term politically related challenges for financial markets to digest include a confidence vote in France and the risk of a US government shutdown at the end of the month. Fiscal policy across a range of countries, including the main developed markets, remains a key structural concern. We believe the USD remains broadly overvalued and we continue to expect weakening over the medium term. Though risks have risen for EMs around US trade and tariff policy, we remain constructive on select countries within asset class. Globalisation is still proceeding, though the shape of it is changing as new trade agreements are formed, and a number of EMs are well-placed here. We also remain constructive on select developed markets.

Where to Invest?

- Market resilience amid moderate earnings and soft inflation creates a supportive backdrop for shares—but high valuations necessitate caution.
- Consider rotating into cyclical/value sectors, EM exposure, shorter-duration bonds, and inflation hedges like gold.
- Structural themes favour exposure to real assets, infrastructure, private credit and private equity, particularly in Australia – with data centres, airports, infrastructure, and commercial real estate expected to benefit from recovery in digitisation.
- Growth may shift away from the US—monitor EM fundamentals and regional recovery indicators.
- Prepare for potential downside risks—tariff policy shifts or central bank missteps could reverse optimistic sentiment quickly.
- Industrial materials like metals, chemicals and, rare earths are holding up, energy is under pressure, and gold is more attractive.
- USD facing headwinds; diversification into EM FX and other assets are gaining interest.
- Cautious optimism, with emphasis on diversification and tactical exposure across assets.

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